Block practice · Opening journals and revised profit

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Calculating a revised profit

Opening journal entries and other one-off journal entries

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Practice workbook · Calculating a revised profit

Starting from a draft profit and adding or taking away the effect of year-end adjustments (accruals, prepayments, depreciation, changes in the debt provision, goods taken by the owner) or of correcting an error, to reach the corrected profit for the year.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-04

1. Question 2 · part b · 5 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

2 (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

(3)

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

(2)

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1. Question 2 · part b · 5 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

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Ruhi, a sole trader, provided the following information for the year ended 31 March 2025 after the preparation of the income statement.

	$
Bank loan (2029)	9 500
Bank overdraft	160
Drawings	32 300
Equity at 1 April 2024	23 900
Inventory	14 650
Non-current assets – carrying value	21 820
Other payables	1 380
Other receivables	330
Trade payables	8 660
Trade receivables	12 300

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Additional information

Profit for the year, $37 800, was before accounting for:

- rental income received in advance, $650
- goods taken for own use, $280
- an understatement of $400 on the depreciation charge
- the creation of a provision for irrecoverable debts at 2% of the trade receivables.

(b) Calculate the revised profit for the year ended 31 March 2025.

(5)

	$
Draft profit for the year	37 800
Rental income in advance	
Goods for own use	
Depreciation understated	
Provision for irrecoverable debts	
Revised profit for the year	

1. Question 2 · part b · 5 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

(c) Prepare the statement of financial position at 31 March 2025.

Ruhi
Statement of Financial Position at 31 March 2025

(10)

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10

P 7 8 7 9 2 A 0 1 0 1 2

1. Question 2 · part b · 5 marks · Working and answer

Working and answer

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2. Question 10 · part whole · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part whole only.

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10 A sole trader's draft profit for the year ended 30 April 2023 was $65 000 **before** adjusting for an outstanding invoice for light and heat totalling $1 200 for the three months ending 31 May 2023.

Identify the adjusted profit for the year ended 30 April 2023.

- ☒ **A** $66 200
- ☒ **B** $65 800
- ☒ **C** $64 200
- ☒ **D** $63 800

(Total for Question 10 = 1 mark)

Working and answer

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3. Question 1 · part b · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 On 31 December 2024, Jay, a sole trader, provided the following information.

	$
Inventory at 1 January 2024	15 600
Machinery at 1 January 2024 – Cost – Provision for depreciation	 75 500 18 750
Discount allowed	1 328
Discount received	534
General expenses	8 900
Insurance	2 080
Machinery repairs	1 500
Purchases	69 320
Rent and rates	5 600
Returns inwards	3 214
Revenue	143 200
Wages and salaries	24 560

Additional information at 31 December 2024

- Closing inventory was valued at $12 900
- Machinery is depreciated at 20% per annum on a reducing balance basis. There had been no purchases or disposals of machinery during the year.
- Irrecoverable debts of $850 were to be written off.
- Other receivables for insurance were $250
- Other payables for wages and salaries were $440

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3. Question 1 · part b · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 December 2024.

(12)

Jay
Income Statement for the year ended 31 December 2024

OLevels.COM SCHOOL

3. Question 1 · part b · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Following preparation of his income statement, Jay discovered that a payment for machinery repairs, $500, had been entered in the machinery account.

(b) Calculate the adjusted profit for the year ended 31 December 2024 after the correction of this error.

(4)

Jay is considering changing his method of depreciation to the straight-line method as he believes that this will increase his profit for the year.

(c) Explain, referring to a relevant accounting concept, whether he should proceed with this proposal.

(4)

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3. Question 1 · part b · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Opening journal entries and other one-off journal entries

Using the general journal for opening balances and for unusual items such as credit purchases of non-current assets.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-14

1. Question 17 · part a · 4 marks

2024 NOV · Paper 01

Worked-example retry · Attempt part a only.

17 Sunal has been in business for some years but has never maintained a full set of accounting records.

On 1 July 2023, he identified that his assets and liabilities were as follows.

	$
Bank overdraft	1 200
Inventory	8 162
Machinery	25 000
Other payables	542
Petty cash	250
Premises	65 000
Trade payables	4 900
Trade receivables	8 230

(a) Prepare an opening journal entry on 1 July 2023. A narrative **is** required.

(4)

Journal

Date	Account	Debit $	Credit $
Jul 1			

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1. Question 17 · part a · 4 marks

2024 NOV · Paper 01

Worked-example retry · Attempt part a only.

During the year ended 30 June 2024:

- Sunal purchased additional machinery, $5 000, on credit from AC Engineering
- irrecoverable debts, $650, were written off.

(b) Prepare journal entries to record the **two** transactions. Narratives **are** required.

(6)

Journal

Date	Account	Debit $	Credit $
Jun 30			
Jun 30			

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1. Question 17 · part a · 4 marks · Working and answer

Working and answer

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2. Question 17 · part a · 7 marks

2024 JUN · Paper 01

Further practice · Attempt part a only.

17 On 1 January 2023 Jean started in business with the following assets and liabilities.

	$
Bank loan	2 500
Cash at bank	2 000
Inventory	1 890
Motor vehicle	10 000
Trade payables	600

(a) Prepare an opening journal entry for Jean at 1 January 2023.

A narrative is **not** required.

(7)

Journal

2023	Details	Debit $	Credit $
1 January			

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2. Question 17 · part a · 7 marks

2024 JUN · Paper 01

Further practice · Attempt part a only.

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On 31 December 2023 Jean identified the following errors.

- A purchase of stationery for office use, $30, had been entered in the purchases account.
- The sales account had been undercast by $200
- A cheque, $300, received from J Arthur had been credited to the account of J Alfred.
- A credit sale to Jones, $78, had been correctly entered in the sales account but debited to Jones' account as $87

(b) Prepare journal entries to correct these errors.

Narratives are **not** required.

(8)

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Journal

2023	Details	Debit $	Credit $
31 December			
31 December			
31 December			
31 December			

(Total for Question 17 = 15 marks)

2. Question 17 · part a · 7 marks · Working and answer

Working and answer

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3. Question 14 · part a · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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14 On 1 January 2025, Tariq started in business. On that day he:

- purchased goods for resale, $2 400, and office equipment, $5 000, which were paid for from his own monies
- received a bank loan, $3 000, which he paid into the business bank account
- paid $5 000 of his own money into the business – $250 into petty cash and the remainder into the bank account.

(a) Prepare the opening journal entry on 1 January 2025.

A narrative is **not** required.

(6)

Journal

Date	Account	Debit $	Credit $
January 1			

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P 7 8 7 9 1 A 0 7 2 0

3. Question 14 · part a · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

During January 2025, the following expenses were paid from petty cash.

Jan		$
2	Postage stamps	12
5	Taxi fare	6
10	Stationery	21
18	Office cleaner	30
24	Printer ink	15
28	Train fare	26

On 31 January 2025, Tariq withdrew an amount from the business bank account to restore the petty cash book to its opening balance.

(b) Prepare the petty cash book for the month of January 2025. Balance the petty cash book on 31 January 2025 and bring the balance down on 1 February 2025.

(9)

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3. Question 14 · part a · 6 marks · Working and answer

Working and answer

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4. Question 17 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

17 Sunal has been in business for some years but has never maintained a full set of accounting records.

On 1 July 2023, he identified that his assets and liabilities were as follows.

	$
Bank overdraft	1 200
Inventory	8 162
Machinery	25 000
Other payables	542
Petty cash	250
Premises	65 000
Trade payables	4 900
Trade receivables	8 230

(a) Prepare an opening journal entry on 1 July 2023. A narrative **is** required.

(4)

Journal

Date	Account	Debit $	Credit $
Jul 1			

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P 7 5 9 4 0 A 0 1 8 2 4

4. Question 17 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

During the year ended 30 June 2024:

- Sunal purchased additional machinery, $5 000, on credit from AC Engineering
- irrecoverable debts, $650, were written off.

(b) Prepare journal entries to record the **two** transactions. Narratives **are** required.

(6)

Journal

Date	Account	Debit $	Credit $
Jun 30			
Jun 30			

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4. Question 17 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

(c) Advise Sunal of **two** benefits to his business of maintaining a trial balance.

(5)

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(Total for Question 17 = 15 marks)

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4. Question 17 · part b · 6 marks · Working and answer

Working and answer

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